Northbridge Bank plc — SME Credit Policy

FICTIONAL DOCUMENT. *Northbridge Bank plc does not exist. This policy, and every threshold, limit, scorecard weight, PD, LGD, authority level and worked example in it, is invented for educational and portfolio-project purposes. It is not, and must not be presented as, the policy of any real institution.*

6. Eligibility

An application that fails a mandatory eligibility criterion must be declined or approved as a Policy Exception; it may not proceed to credit assessment as if eligible. Eligibility is tested by the decision engine for engine-routed applications and by the RM (checked by Credit) for all others.

6.1 Mandatory eligibility criteria

Criterion	Requirement	Exception route
Registration	UK-registered company, LLP or partnership, or UK-resident sole trader, trading principally in the UK	None for non-UK obligors (Corporate & International)
Trading history	≥ 24 months for standard policy; < 24 months → Start-up policy (Section 31)	Start-up policy
Filing status	Companies House filings up to date (no overdue accounts or confirmation statement > 30 days late)	Credit Manager if late filing explained and cured by CP
Minimum turnover	≥ £50k for term lending; none for card/overdraft ≤ £10k	Credit Manager
Ownership transparency	All persons with ≥ 25% ownership or significant control identified and verified; ultimate beneficial owners (UBOs) verified to 10% where higher-risk indicators exist	None
Management	At least one director/partner with ≥ 2 years' relevant sector experience	Credit Manager
Sector	Not Prohibited; Restricted sectors meet sector conditions (6.3)	Restricted: per 6.3. Prohibited: none
Credit history	No unsatisfied CCJs > £5k in last 24 months (business or principals); no insolvency of principals in last 6 years; no IVA in last 3 years	Senior Credit Manager if explained and satisfied
Account conduct	Where banked with Northbridge ≥ 6 months: no returned items in last 3 months; no unarranged excess > 30 days in last 6 months	Credit Manager
Tax	No known HMRC arrears outside an agreed Time to Pay arrangement; Time to Pay arrangements disclosed and being met	Credit Manager if TTP being met

Criterion	Requirement	Exception route
Financial information	Information required by Section 8 provided	None (incomplete applications are not assessed)
Purpose	Legal, clearly identified, consistent with the business model and not to repay HMRC arrears, other lenders' arrears or fund distributions to shareholders	Refinancing of arrears only under Section 26
Source of funds	Equity contributions and deposits supporting the application are from an evidenced, legitimate source	None
Existing relationship	Not required. Non-customers must open a Northbridge operating account before drawdown for any facility > £250k	Credit Manager

6.2 Sector appetite classification

Northbridge classifies sectors by SIC 2007 code into four appetite categories, refreshed semi-annually by Portfolio Credit Risk based on default rates, forward-looking economic indicators and concentration.

Category	Meaning	Approval impact
Acceptable — Growth	Sectors where Northbridge seeks to grow share	Standard policy
Acceptable — Neutral	Standard appetite	Standard policy
Restricted	Elevated credit, legal, regulatory, reputational or financial-crime risk; lending only on enhanced conditions	Sector conditions + one authority level higher (Section 19)
Prohibited	Outside appetite	Decline; no exception route

6.3 Sector classification *(illustrative)*

Sector	Category	Rationale and conditions
Healthcare (GP, dental, care with CQC rating Good/Outstanding)	Acceptable — Growth	Contracted public income; regulated quality. Care homes rated Requires Improvement → Restricted
Professional services	Acceptable — Growth	Stable fee income; low capital intensity
Manufacturing (excl. defence-adjacent)	Acceptable — Growth	Tangible security; strong UK supply-chain policy support
Technology (revenue-generating, positive EBITDA)	Acceptable — Neutral	Cash-flow lending only; pre-revenue → Restricted (venture debt team)
Wholesale and distribution	Acceptable — Neutral	Thin margins; working-capital intensive
Agriculture	Acceptable — Neutral	Land security; subsidy-transition and weather risk
Transport and logistics	Acceptable — Neutral	Fuel and labour sensitivity; asset-backed
Retail (non-food)	Acceptable — Neutral	Structural shift online; lease liabilities included in leverage

Sector	Category	Rationale and conditions
Hospitality (pubs, restaurants, hotels)	Restricted	High default rates; energy, labour and consumer-demand sensitivity. Max senior leverage 2.5x; DSCR ≥ 1.35x; trading ≥ 3 years
Construction — main contractors < £5m turnover	Restricted	Fixed-price contract risk; retentions; payment-chain insolvency contagion. Bonding exposure counted in full
Recruitment and staffing	Restricted	Thin margins; HMRC/IR35 and umbrella-company compliance; PAYE arrears risk. Invoice finance preferred
Commercial property development	Restricted	Section 32 conditions
Energy — oil & gas services	Restricted	Transition risk; Climate Risk Standard sector review required
Cash-intensive businesses (car washes, nail bars, takeaways, vape shops)	Restricted	Heightened money-laundering risk. Enhanced Due Diligence; cash-turnover reconciliation to bank statements
Gambling (licensed)	Restricted	Reputational and AML; UK Gambling Commission licence required and in good standing
Cryptoasset businesses	Restricted	FCA cryptoasset registration mandatory; Financial Crime Risk approval
Defence manufacturers	Restricted	Export-control and reputational review; no controversial weapons
Adult entertainment	Prohibited	Reputational risk outside appetite
Unlicensed money service businesses / unregistered payment institutions	Prohibited	Regulatory and AML
Controversial weapons (cluster munitions, anti-personnel mines, chemical/biological)	Prohibited	Legal and reputational
Payday / high-cost short-term lenders	Prohibited	Conduct and reputational
Thermal coal mining or new coal-fired generation	Prohibited	Climate Risk Standard
Businesses whose principal activity is unlawful in any UK jurisdiction	Prohibited	Legal
Shell companies with no trading activity (other than SPVs within Section 32 property lending)	Prohibited	Fraud and AML

6.4 Geographic considerations

- Lending is available across England, Scotland, Wales and Northern Ireland. Security documentation must follow the law of the jurisdiction where the asset sits (for example, standard securities and floating charges under Scots law; mortgages registered with Land Registry NI).